

# Housing Capacity and Equity Around Diridon Station

Where San José's biggest transit investment can add homes — and for whom

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## Note

**Bottom line.** Within one mile of Diridon Station, San José's zoning permits a theoretical  $\approx 88,000$  homes — but the lever that matters is the **Downtown core**, which holds nine-tenths of that capacity and where  **$\sim 42\%$  of the land is still vacant or surface parking**. Re-developing only those underbuilt “soft sites” would add  $\approx 34,600$  homes near the region's marquee transit hub. That opportunity sits in a neighborhood that is **64% renters** and **twice as transit-dependent** as the rest of the city — so capacity should be paired with anti-displacement and inclusionary tools, not unlocked on its own.

## The question

Diridon is the San Francisco Bay Area's flagship transit-oriented development site: the future convergence of BART's Silicon Valley extension, California High-Speed Rail, Caltrain, and Google's “Downtown West.” It is exactly the kind of station area where regions hope to concentrate new housing. Two questions decide whether that hope is realistic:

1. **Capacity** — does the zoning actually permit enough housing near the station, and how much of it is on land that could realistically redevelop?
2. **Equity** — who lives there now, and would adding homes put them at risk?

## Approach

We work at the **parcel level** within a **1-mile** station area (3,262 parcels,  $\sim 894$  acres). For each parcel that permits housing we compute theoretical capacity as *lot acreage  $\times$  maximum dwelling units per acre*, using **real maximum densities from San José's zoning code** (Title 20, Table 20-136) and the **Diridon Station Area Plan** for the Downtown core — not assumptions. We then discount to **net-new capacity** by keeping only **soft sites**: high-capacity parcels that are currently vacant or barely built, identified from **OpenStreetMap building-footprint coverage** ( $< 15\%$  of the lot built). Finally we overlay **ACS 2022** demographics and the City's **Equity Index** to characterize who lives in the station area today. Full detail and caveats are in Methods & Sources.

## Finding 1 — The capacity is real, and it is downtown

Where San Jose can add homes near Diridon — and who lives there now

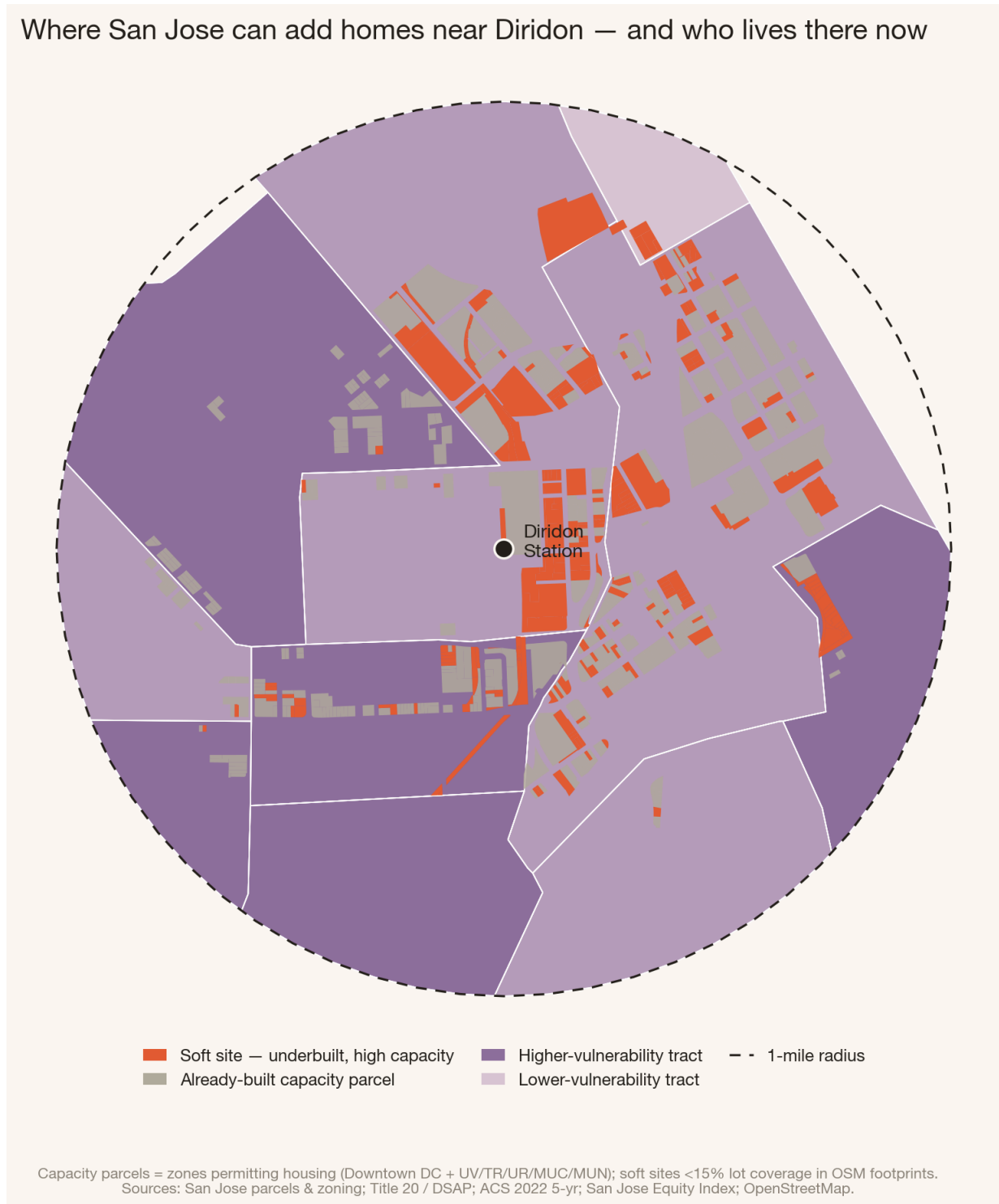


Figure 1: **The story in one map.** Coral parcels are *soft sites* — underbuilt, high-capacity lots clustered tightly around the station and through the Downtown core. They sit atop neighborhoods shaded by displacement vulnerability.

The corrected numbers reframe the opportunity. The six conventional mixed-use / urban-village zones near Diridon — the ones a citywide analysis would flag — cover only **53 acres** and permit about **8,900** homes. The real capacity is in the **Downtown (DC)** core, which covers **226 acres** and, under the DSAP's 350 du/ac ceiling, permits roughly **79,000** homes. Together that is **≈ 88,000 units** of gross zoned capacity.

But gross capacity overstates what can happen, because much of that land is already developed. Restricting to **soft sites** — vacant lots, surface parking, and one-story uses — yields **≈ 34,600 net-new homes**, and **~95% of it is in the Downtown core**, where roughly **42% of the zoned land is still vacant or surface parking** today (median building coverage just 29%). San José’s downtown parking problem is, in effect, its largest near-transit housing opportunity.

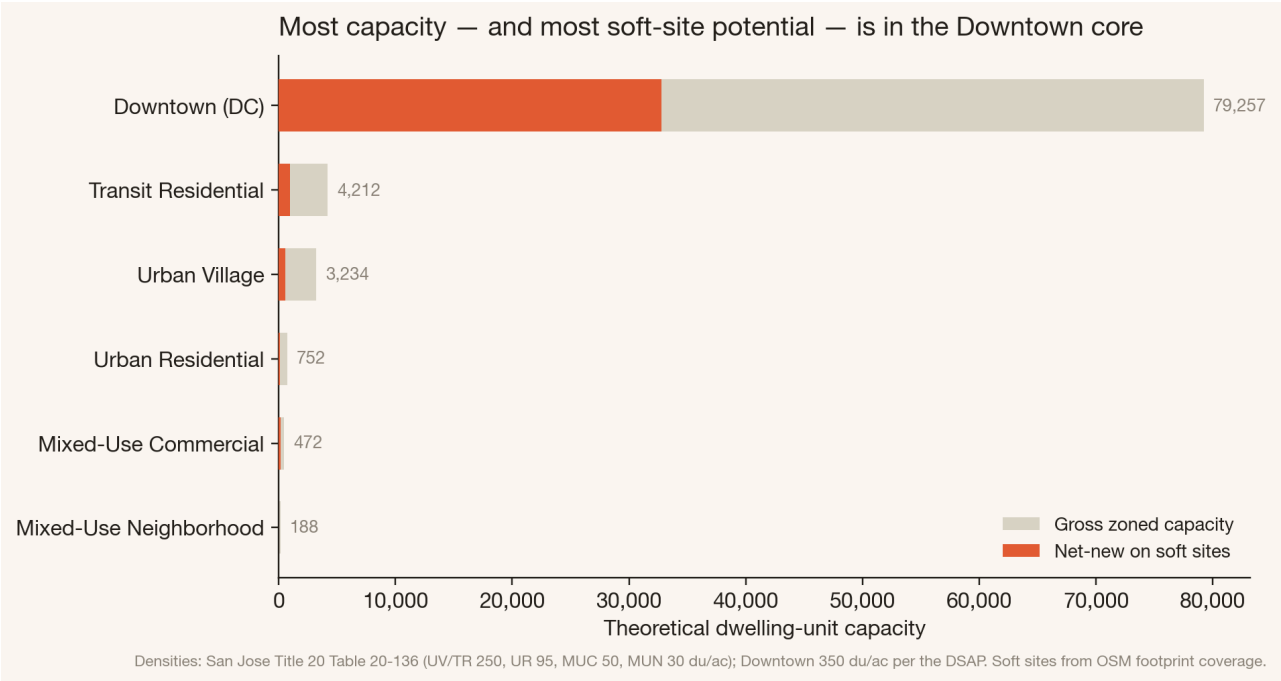


Figure 2: Gross zoned capacity (grey) versus net-new capacity on underbuilt soft sites (coral), by zone. The Downtown core dominates both.

### Finding 2 — Who lives there now

The station area is not a blank slate. Compared with San José as a whole, the 1-mile area is overwhelmingly a **renters’ neighborhood** and far more dependent on transit — the residents most exposed to rent pressure if redevelopment is not managed.

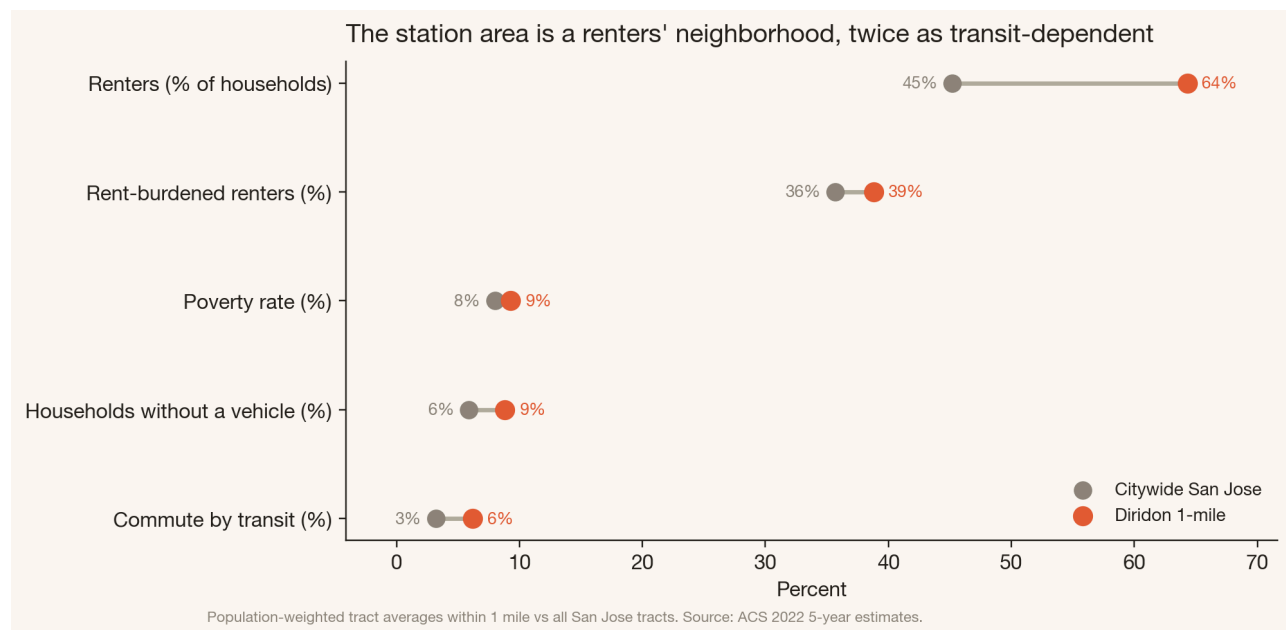


Figure 3: Station-area tracts versus citywide San José, ACS 2022. The station area is markedly more renter-occupied and transit-dependent.

Encouragingly, most of the net-new capacity (~88%) sits in **moderate**- vulnerability tracts rather than the city's most disadvantaged neighborhoods — this is largely commercial downtown land, not established low-income housing. But “moderate” here still means **majority-renter and transit-reliant**: exactly the population that benefits from new supply *and* is most vulnerable to being priced out during it.

## Recommendation

**Target the Downtown soft sites for mixed-income, transit-oriented housing — and pair upzoning with anti-displacement and inclusionary tools from the start.**

The capacity exists and is concentrated on land that is cheap to redevelop (parking and vacant lots) rather than on occupied housing. That is the ideal condition for adding supply with minimal direct displacement. But because the surrounding population is renter-majority and transit-dependent, capacity alone risks raising rents faster than it adds affordability.

This pairing is the central finding of my own peer-reviewed research. Work on New York City's rent-stabilization system shows that affordability policy is most effective when **tenant protections are coupled with inclusionary zoning** that expands supply, rather than either tool used alone.<sup>1</sup> And parcel-level analysis of the *sequence* of neighborhood change shows that displacement pressure can be anticipated — and mitigated — before it arrives.<sup>2</sup> Applied to Diridon: adopt soft-site upzoning **with** on-site affordability requirements, right-of-first-refusal / tenant-protection provisions for the few occupied parcels, and monitoring of the high-renter tracts the new capacity touches.

## Caveats

This is **theoretical zoned capacity**, not a production forecast — it measures what the code permits, not what the market will build. Soft sites are an *open- data proxy* (footprint coverage), so the Downtown figure is a ceiling: some zero-coverage parcels are the station, rail right-of-way, or open space rather than developable land. Vulnerability flags

<sup>1</sup>Zapatka, K., & de Castro Galvao, B. (2022). Affordable Regulation: New York City Rent Stabilization as Housing Affordability Policy. *City & Community*. doi:10.1177/15356841221123762

<sup>2</sup>Zapatka, K., & Beck, B. (2020). Does Demand Lead Supply? Fem-Led Neighborhood Change and the Sequence of Gentrification. *Urban Studies*. doi:10.1177/0042098020940596

identify *exposure*, not predicted displacement, and ACS estimates carry margins of error. See Methods & Sources for thresholds, sensitivity, and data lineage.

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Tip

**Sources.** City of San José parcels, zoning, and Equity Index; San José Municipal Code Title 20 (Table 20-136); Diridon Station Area Plan (2021); ACS 2022 5-year estimates; OpenStreetMap building footprints. Analysis and figures: Kasey Zapatka, 2026.